

HOME IMPROVEMENT CONTRACT

Business and Professions Code §7159

This AGREEMENT is made as of the 7 day of July, 2026, between the Owner and Contractor below.

OWNER Jane Doe 123 Main St, Antioch, CA 94509	CONTRACTOR Cabrera Construction 2752 Capistrano St, Antioch, CA 94509 Lic. #1135927 · B-General Building
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The "NOTICE OF CANCELLATION" may be sent to the Contractor at the address or email address shown above. **You are entitled to a completely filled-in copy of this agreement, signed by both you and the Contractor, before any work may be started.**

THE PROJECT IS

Name and Address:	Test Kitchen Remodel — 123 Main St, Antioch, CA 94509
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Description of the Project and Significant Materials to be Used and Equipment to be Installed:

LABOR

- Install cabinets (Qty: 1 ea)

MATERIALS

- Countertop material (Qty: 20 sq ft)

List of Documents Attached and Incorporated into the Contract:

1. Notice of Cancellation Form
2. Home Improvement Change Order Form
3. California Residential Contracts – Required Attachments and Checklists
4. Attachment A – Schedule of Progress Payments

CONTRACT PRICE & PAYMENT

Contract Price:	\$6,600.00
Finance Charge (if applicable):	\$0.00

THE DOWN PAYMENT MAY NOT EXCEED \$1,000 OR 10% OF THE CONTRACT PRICE, WHICHEVER IS LESS.

Down Payment:	\$2,500.00 — Due: 2026-07-07
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SCHEDULE OF PROGRESS PAYMENTS

Work to be completed, materials and equipment supplied	Amount Due	When Due
1st Payment — Deposit	\$2,500.00	2026-07-07
2nd Payment — Mid-project	\$2,500.00	2026-07-07

see attachment for remaining progress payments

The schedule of progress payments must specifically describe each phase of work, including the type and amount of work or services scheduled to be supplied in each phase, along with the amount of each proposed progress payment. **IT IS AGAINST THE LAW FOR A CONTRACTOR TO COLLECT PAYMENT FOR WORK NOT YET COMPLETED, OR FOR MATERIALS NOT YET DELIVERED. HOWEVER, A CONTRACTOR MAY REQUIRE A DOWN PAYMENT.**

Upon satisfactory payment made for any portion of the work performed, the Contractor, prior to any further payment being made, shall furnish to the Owner a full and unconditional release from any potential lien claimant claim or mechanics lien authorized pursuant to Sections 8400 and 8404 of the Civil Code for that portion of the work for which payment has been made.

Approximate Start Date:	2026-07-07
Approximate Completion Date:	Approx. 30 days from start

Substantial commencement of the work shall mean when the first installation of work or delivery of materials occurs at the Project.

WORKERS' COMPENSATION INSURANCE (check one)

- This Contractor has no employees and is exempt from workers' compensation requirements.
- This Contractor carries workers' compensation insurance for all employees.

USE OF SUBCONTRACTORS (required disclosure)

Will one or more subcontractors be used on this project? **Yes** ■ **No** ■

One or more subcontractors will be used on this project, and the contractor is aware that a list of subcontractors is required to be provided, upon request, along with the names, contact information, license number, and classification of those subcontractors.

Subcontractor Name	License #	Classification	Scope of Work
ABC Plumbing	999999	C-36	Plumbing rough-in

COMMERCIAL GENERAL LIABILITY INSURANCE (CGL) (check one)

- This Contractor does not carry commercial general liability insurance.
- This Contractor carries commercial general liability insurance. Insurer: Evanston Phone: (916) 482-9600
- This Contractor is self-insured.
- This Contractor is a limited liability company that carries liability insurance or maintains other security as required by law.

PAYMENT TERMS

Cash / Check Discount (Credit-Card-Inclusive Pricing): The Contract Price stated in this Agreement is the price for payment by credit card and already includes the Contractor's cost of accepting credit cards. If the Owner pays the Contract Price, the down payment, or any progress payment by cash, check, or electronic bank transfer, that payment will be reduced by three percent (3%) as a cash discount. Payments made by credit card are charged at the full stated amount with no discount. This discount applies only in lieu of credit card payment and does not apply to debit card payments. Before processing any payment, the Contractor will state both the discounted (cash/check) amount and the non-discounted (credit card) amount.

TERMS AND CONDITIONS

Responsibility for Completion:

The Contractor is the prime (direct) contractor and is responsible for completion of the project in accordance with this home improvement contract, the plans, and the specifications. The use of subcontractors does not relieve the Contractor of this responsibility, nor does it excuse any subcontractor or home improvement salesperson from administrative discipline for violations of the home improvement contract laws.

Plans and Specifications:

The project shall be constructed according to the Plans, Drawings, and Specifications. Contractor shall be entitled to rely on the accuracy of the Plans, Drawings, and Specifications provided by Owner. Contractor shall be entitled to a change in the Contract Sum and Contract Time if the Plans, Drawings and Specifications contain errors.

Property Insurance:

Owner shall purchase and maintain, until final payment is due, property insurance in the amount of the initial Contract Sum plus subsequent modifications for the entire Work at the site written on an All-Risk policy form and shall name Contractor as an additional insured. If the Project, or any portion thereof, is destroyed or damaged by accident, disaster or calamity resulting from any cause, Contractor shall nevertheless be paid for all Work completed, Work in progress, and the cost of the Work as of the date of the calamity, to the extent covered by said all-risk policy.

Waiver of Subrogation:

The Owner and Contractor waive all rights against each other and any of their subcontractors, agents and employees for damages caused by fire or other causes of loss to the extent covered by property insurance applicable to the work.

Right to Stop Work:

Contractor shall have the right to cease work on the Project if any amount due Contractor has not been paid when due.

Permits:

Contractor shall obtain and pay for all required building permits. Owner shall be responsible for all taxes, assessments and charges required by public agencies.

Attorneys' Fees:

In any dispute relating to the interpretation or enforcement of this Agreement, the prevailing party shall be entitled to its costs and attorneys' fees.

Bankruptcy:

If either party files for Bankruptcy or makes an assignment for creditors, the other party has the right to cancel this Agreement.

Assignment:

Neither party shall assign its rights or delegate its duties under this Agreement without prior written consent of the other.

Delay:

Contractor shall be excused for any delay and may be entitled to an increase in the Contract Time due to any event beyond the reasonable control of Contractor, including: acts of God; acts of neglect of Owner; failure of Owner to promptly process submittals, payment applications, or change orders; delays caused by work not the responsibility of Contractor; acts of neglect of separate contractors employed by Owner; delays caused by public utilities or government bodies; materials embargoes; labor troubles; fire; delays in transportation; changes ordered in the Work; wrongful failure of Owner to make payments required under the Contract Documents; or other causes beyond Contractor's reasonable control.

Bond:

The Owner, or tenant, shall have the right to require Contractor to procure a performance and payment bond.

OWNER SIGN HERE

CONTRACTOR OR AGENT SIGN HERE

If More Than One Owner, Second Owner Sign Here

NOTE ABOUT EXTRA WORK AND CHANGE ORDERS

Extra Work and Change Orders become part of the contract once the order is prepared in writing and signed by the parties prior to the commencement of any work covered by the new change order. The order must describe the scope of the extra work or change, the cost to be added or subtracted from the contract, and the effect the order will have on the schedule of progress payments. The Owner may not require the Contractor to perform extra work without written authorization prior to the commencement of work covered by the new change order. Extra work or a change order is not enforceable against the Owner unless it identifies, in writing, prior to commencement of the covered work: (i) the scope of work encompassed by the order; (ii) the amount to be added or subtracted from the contract; (iii) the effect the order will make in the progress payments or the completion date.

MECHANICS LIEN WARNING

Anyone who helps improve your property, but who is not paid, may record what is called a **mechanics lien** on your property. A mechanics lien is a claim, like a mortgage or home equity loan, made against your property and recorded with the county recorder.

Even if you pay your contractor in full, unpaid subcontractors, suppliers, and laborers who helped to improve your property may record mechanics liens and sue you in court to foreclose the lien. If a court finds the lien is valid, you could be forced to pay twice or have a court officer sell your home to pay the lien.

To preserve their right to record a lien, each subcontractor and material supplier must provide you with a document called a 'Preliminary Notice.' **BE CAREFUL.** The Preliminary Notice can be sent up to 20 days after the subcontractor starts work or the supplier provides material.

PROTECT YOURSELF FROM LIENS. Get a list from your contractor of all subcontractors and material suppliers on your project, find out when they started work or delivered goods, then wait 20 days, paying attention to the Preliminary Notices you receive. **PAY WITH JOINT CHECKS** payable to both the contractor and the subcontractor or material supplier.

REMEMBER, IF YOU DO NOTHING, YOU RISK HAVING A LIEN PLACED ON YOUR HOME. For more information visit www.cslb.ca.gov or call CSLB at 800-321-CSLB (2752).

INFORMATION ABOUT THE CONTRACTORS' STATE LICENSE BOARD (CSLB)

CSLB is the state consumer protection agency that licenses and regulates construction contractors. Use only licensed contractors. If you file a complaint against a licensed contractor within the legal deadline (usually four years), CSLB has authority to investigate the complaint. If you use an unlicensed contractor, CSLB may not be able to help you resolve your complaint.

Visit CSLB's website at www.cslb.ca.gov · Call CSLB at 800-321-CSLB (2752) · Write CSLB at P.O. Box 26000, Sacramento, CA 95826

ARBITRATION OF DISPUTES

Any dispute arising out of or relating to the negotiation, award, construction, performance or non-performance of any aspect of this agreement shall be settled by binding arbitration in accordance with the Construction Industry Rules of the American Arbitration Association.

NOTICE: BY INITIALING BELOW YOU ARE AGREEING TO HAVE ANY DISPUTE DECIDED BY NEUTRAL ARBITRATION AS PROVIDED BY CALIFORNIA LAW AND YOU ARE GIVING UP ANY RIGHTS YOU MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED IN A COURT OR JURY TRIAL. YOUR AGREEMENT TO THIS ARBITRATION PROVISION IS VOLUNTARY.

Owner's Initials: _____

Contractor's Initials: _____

THREE / FIVE¹ / SEVEN² DAY RIGHT TO CANCEL

You, the Owner, have the right to cancel this contract within three, five or seven business days. You may cancel by e-mailing, mailing, faxing, or delivering a written notice to the Contractor at the Contractor's place of business by midnight of the applicable business day after you received a signed and dated copy of the contract that includes this notice.

If you cancel, the Contractor must return to you anything you paid within 10 days of receiving the notice of cancellation.

Acknowledgement of receipt of Right to Cancel Notice:

Owner's Signature: _____

Date: _____

¹ Five day cancellation notice is only available to an Owner (or buyer) who is a senior citizen. ² Seven day cancellation notice is only used for contracts for the repair or restoration of a residential premises damaged by a disaster upon which a state of emergency has been declared.

AGREEMENT & SIGNATURES

THIS AGREEMENT IS ENTERED INTO AS OF THE DAY AND YEAR STATED ABOVE. THIS AGREEMENT EXPRESSLY INCORPORATES ALL TERMS AND CONDITIONS SET FORTH HEREIN, AND ANY ATTACHMENTS OR EXHIBITS ATTACHED HERETO. THIS AGREEMENT IS EXECUTED IN AT LEAST TWO ORIGINAL COPIES, OF WHICH ONE IS TO BE DELIVERED TO THE CONTRACTOR AND ONE TO THE OWNER.

OWNER (SIGNATURE)

CONTRACTOR (SIGNATURE)

OWNER (PRINT NAME AND TITLE):
Jane Doe

CONTRACTOR (PRINT NAME AND TITLE):
Samuel Cabrera — Cabrera Construction

Samuel Cabrera · Cabrera Construction · Lic. #1135927 · B-General Building · Tel: (415) 359-5394 · cabr_constr@yahoo.com · 2752 Capistrano St, Antioch, CA 94509

Cabrera Construction

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Tel: (415) 359-5394 · cabr_constr@yahoo.com

ATTACHMENT A

Schedule of Progress Payments

Test Kitchen Remodel — 123 Main St, Antioch, CA 94509

Work to be completed, materials and equipment supplied	Amount Due	When Due
1st Payment — Deposit	\$2,500.00	2026-07-07
2nd Payment — Mid-project	\$2,500.00	2026-07-07
Final — Completion	\$1,600.00	2026-07-07
TOTAL	\$6,600.00	

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Samuel Cabrera | Cabrera Construction | Lic. #1135927 · B-General Building | Tel: (415) 359-5394 | cabr_constr@yahoo.com

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Tel: (415) 359-5394 · cabr_constr@yahoo.com

NOTICE OF CANCELLATION

(to be provided in duplicate)

The "Notice of Cancellation" may be sent to the Contractor at the address or email address below.

Cabrera Construction | 2752 Capistrano St, Antioch, CA 94509 | (415) 359-5394 | cabr_constr@yahoo.com

Date of Transaction: 2026-07-07

You may cancel this transaction, without any penalty or obligation, within three (3), five (5) or seven (7) business days from the above date.

If you cancel, any property traded in, any payments made by you under the contract or sale, and any negotiable instrument executed by you will be returned within 10 days following receipt by the Contractor of your cancellation notice, and any security interest arising out of the transaction will be canceled.

If you cancel, you must make available to the Contractor at your residence, in substantially as good condition as when received, any goods delivered to you under this contract.

I, Owner, hereby cancel this transaction:

Date

Owner's Signature

Cabrera Construction

Lic. #1135927 · B-General Building

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If you cancel, you must make available to the Contractor at your residence, in substantially as good condition as when received, any goods delivered to you under this contract.

I, Owner, hereby cancel this transaction:

Date

Owner's Signature

Cabrera Construction

Lic. #1135927 · B-General Building

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HOME IMPROVEMENT CHANGE ORDER

(Business and Professions Code §7193) — Attachment to the Home Improvement Contract

Owner's Name:	Jane Doe	Change Order No.:	_____
Project Name and Address:	Test Kitchen Remodel — 123 Main St, Antioch, CA 94509	Date of Change Order:	_____
Date of Original Contract:	_____	Contractor:	Cabrera Construction

This Change Order modifies the Home Improvement Contract identified above between the Owner and Cabrera Construction. Extra work and change orders become part of the contract once the order is prepared in writing and signed by both parties before any work covered by the change order begins. The Owner may not be required to perform extra work without written authorization prior to the commencement of work covered by this order. To be enforceable, this order must identify, in writing, all of the following: (i) the scope of the work; (ii) the amount to be added to or subtracted from the contract; and (iii) the effect the order will have on the schedule of progress payments and the completion date.

1. Scope of the Extra Work or Change

2. Effect on the Contract Price

Original Contract Price:	\$ _____
Amount ADDED by this Change Order:	\$ _____
Amount SUBTRACTED by this Change Order:	\$ _____
NEW Contract Price (after this Change Order):	\$ _____

3. Effect on the Schedule of Progress Payments

4. Effect on the Completion Date

Prior Approximate Completion Date

New Approximate Completion Date

Use of Subcontractors (required disclosure – check one):

Will one or more subcontractors be used for this change? ☐ Yes ☐ No

If "Yes" is checked, the following disclosure applies and is part of this change order: one or more subcontractors will be used on this project, and the contractor is aware that a list of subcontractors is required to be provided, upon request, along with the names, contact information, license number, and classification of those subcontractors.

By signing below, the Owner and Contractor agree to the change described above. This Change Order is not effective and the changed work shall not begin until this order is signed and dated by both parties.

OWNER (SIGNATURE)

CONTRACTOR (SIGNATURE)

Date

Date

Cabrera Construction

Lic. #1135927 · B-General Building

2752 Capistrano St, Antioch, CA 94509

Tel: (415) 359-5394 · cabr_constr@yahoo.com

CALIFORNIA RESIDENTIAL CONTRACTS

Required Attachments and Compliance Checklist · Home Improvement (B&P Code §7159)

Owner: Jane Doe Contract Date: 2026-07-07
Project Address: 123 Main St, Antioch, CA 94509 Contract #: C-001-01

Use this checklist to confirm the Home Improvement Contract contains every element required by California law and that all required documents are attached before the contract is signed and before work begins. Items marked **(2026)** reflect changes effective January 1, 2026 (SB 517 / AB 1327).

A. Required Contract Contents (B&P §7159)

- Contract is in writing, signed and dated by both Owner and Contractor, with a completely filled-in copy given to the Owner before any work begins.
- Contractor's name, business address, and CSLB license number.
- Section titled "Contract Price" stating the total price.
- Description of the project and significant materials/equipment.
- Down payment does not exceed the lesser of \$1,000 or 10% of the contract price, with the required down-payment notice.
- Schedule of progress payments describing each phase and amount.
- Approximate start date and approximate completion date.
- "Note About Extra Work and Change Orders" included.
- Mechanics Lien Warning included.
- Information about the CSLB included.
- Three-day Notice of Cancellation language, plus the separate Notice of Cancellation form provided in duplicate.
- CGL insurance disclosure (check one option).
- Workers' Compensation insurance disclosure (check one option).
- Arbitration of Disputes provision, if included, carries the required statutory notice and initial lines.

B. New for 2026 (SB 517 / AB 1327)

- (2026) Subcontractor disclosure checkbox present.
- (2026) If "Yes," the required subcontractor disclaimer is stated in the contract and on every change order.
- (2026) Statement that the prime (direct) contractor is responsible for completion in accordance with the contract, plans, and specifications.
- (2026) Contract states the contractor's name, address, and email address, plus a phone number to help the buyer complete the cancellation form.
- (2026) Notice of Cancellation allows cancellation by email, in addition to mail and fax.

C. Documents Attached and Incorporated

- Notice of Cancellation form (provided in duplicate).
- Home Improvement Change Order form.
- This "Required Attachments and Checklist" document.
- Plans, drawings, and specifications, if any.
- Lien release / waiver forms to be used at each progress payment (Civil Code §§8400, 8404).

Reviewed By (Signature): _____

Date: _____

This checklist is a compliance aid based on California Business and Professions Code §7159 and related law; it is not legal advice and does not list every one of the statute's requirements. The Contractor is responsible for reviewing the current statute in full and should have contract forms reviewed by a California construction attorney.